

Inflation and why the inflation-linked bond market is not a forecast

25 September 2026 · Renny Ellis, Director and Head of Portfolio Management

In a binomial world there are two groups of investors when it comes to inflation. These are the following.

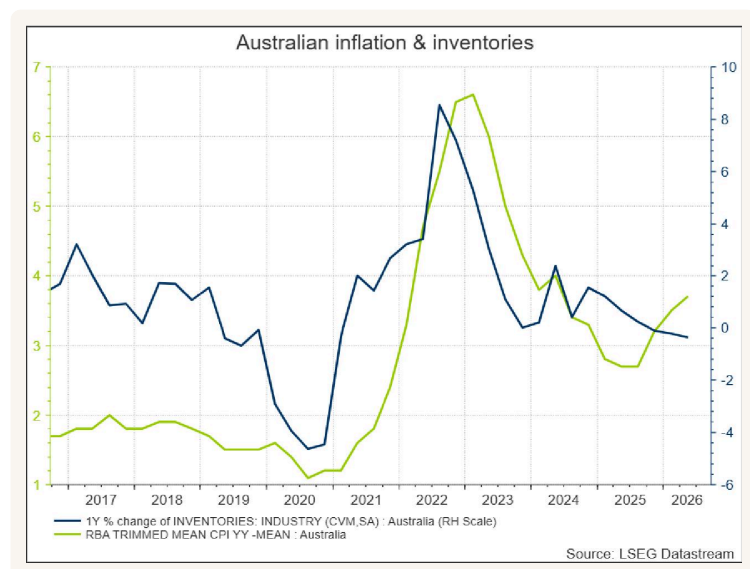
- Those young enough to have never seen an inflation breakout and still don't believe that the post COVID breakout is an actual problem.
- Those old enough to have seen inflation get out of control for a sustained period and then understand the implications.

Neither really understand why inflation should always be the primary concern of a central bank and neither understand well enough how or why an inflationary breakout occurs. At least the 'old' have the experience to expect that inflation will be higher for longer and the 'old' know, firsthand, the damage inflation does to the wealth and prosperity of a nation. If only I knew then what I know now.

By any measure and in the judgment of most sober economists' inflation has now become entrenched in the US, UK, EU, Japan and Australia for the first time in over three decades. Putting aside all the excuses from the politicians and the poor analysis from economists, which includes, disappointingly, the central banks, the reason inflation is a problem today is that they were not responsible enough to take away the COVID period stimulatory response fast enough.

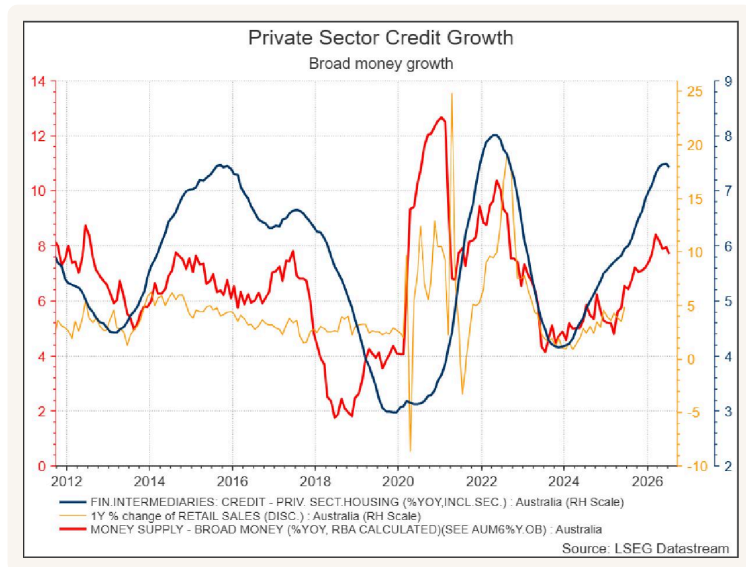
In an Australian context the Morrison government was caught between the recurring lockdowns in Victoria, the lifting of lockdowns in NSW and the May 2022 Federal Election. It is easy in hindsight to criticise the Morrison government but there can be no excuses for the RBA or the Albanese government that despite full employment, it has kept spending other people's money like it was 2020. All rational, honest and sober economists would not be able to justify the RBA cutting rates in 2025 when the economy was operating well beyond full employment and the Federal government was still spending like a COVID lockdown was still occurring.

So here we are now with the RBA's preferred measure of inflation, the Trimmed Mean, rising again.



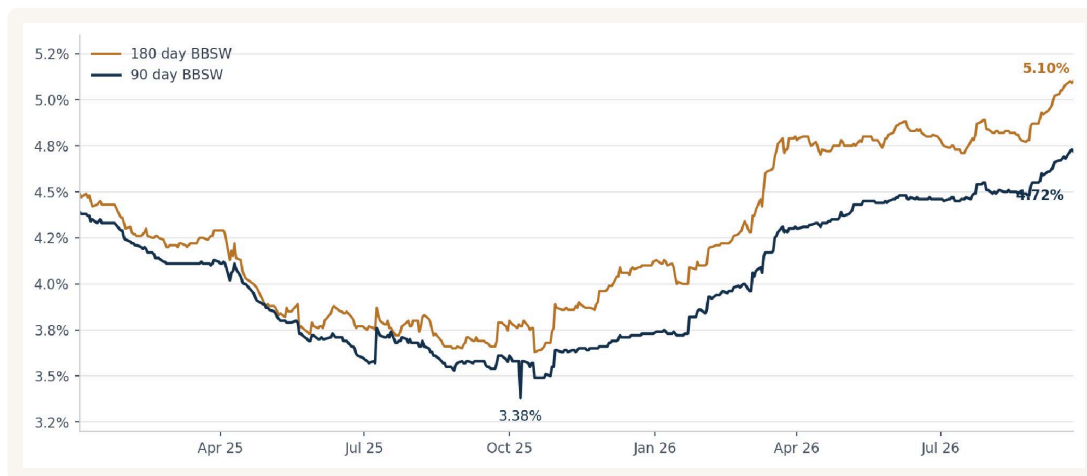
Australian inflation and inventories: RBA trimmed mean CPI, year on year, against the one-year change in industry inventories (right scale). Source: LSEG Datastream.

We have for some time pointed out that inflation will remain a problem for as long as money growth is increasing and added to this is the strong rise in private credit growth as evidence that monetary policy is not restrictive.



Private sector credit growth, year on year. Source: LSEG Datastream.

All the banks are expecting at least one rise in the RBA official overnight interest rate this year and some are now expecting two rate rises (September and November). This is reflected in the rise in the 90 day and 180-day BBSW rates versus the current RBA cash rate.



90 day and 180-day BBSW, January 2025 to 23 September 2026. Source — Arculus Funds Management

Recently a narrative has crept from some long duration market participants and repeated by their brokers and then the media. This narrative points to the expected level of inflation implied in inflationary linked bonds (TIPS in the US) as evidence that the market is forecasting that inflation will return in the medium term to the central bank's target. We don't believe that the TIPS market efficiently forecasts inflation for the following reasons.

The decomposition

Breakeven Bond Price = expected inflation + inflation risk premium - TIPS liquidity premium + deflation floor option + technical noise. Only the first term is a forecast, and it's usually not the term doing the moving.

The liquidity premium is the obvious one. TIPS are a fraction of the nominal market, held by less levered, more real money hands, and dealer balance sheet for them evaporates in stress. October 2008 had 10 year breakevens pricing near zero average inflation for a decade, which nobody believed even at the time. March 2020 was a smaller version of the same thing. Exactly when you most want a market read on inflation, the instrument breaks.

In an Australian context the market for inflation linked bonds is very small. There is strong demand from insurers and infrastructure adjacent real return mandates while issuance is constrained by the AOFM. Aussie breakevens are dominated by scarcity value to a degree that makes even the directional signal unreliable.

The risk premium is the subtler problem because its sign isn't stable. It depends on the stock bond correlation regime. When supply and inflation shocks dominate, nominal bonds fail as a hedge, investors pay up for real protection, and breakevens are biased high. When demand shocks dominate, most of 1998 to 2019, nominals hedge equity risk, the premium compresses to roughly zero or goes negative, and breakevens are biased low. So, the bias flips precisely at the regime turns you care about, which is why breakevens under predicted going into 2021 and then overpriced the persistence in 2023.

Horizon specific distortions

Short dated breakevens are close to a levered oil position. Near term headline CPI prints are dominated by energy pass through in the US, so 2 year breakevens track WTI with an R squared that makes them useless as an inflation view. Even 5y5y forwards carry residual energy beta through the front leg construction.

In an Australian context short dated breakevens are not closely correlated to any one price outcome but the distortion arrives with a lag that represents the 90-day inventory cycle where the impact on transport costs is fully reflected in goods prices.

At the other end, the long forward is pinned near target whenever credibility holds. It's accurate in the way a broken clock at 2 percent is accurate. It stops containing information at exactly the point it becomes well behaved.

Mechanical and index issues

The three-month indexation lag means breakevens embed known, already printed CPI, plus predictable seasonality that is a lagging indicator. The monthly CPI readings are not a reliable indicator of inflation. The Federal Reserve's preferred measure of inflation is the core PCE price index on a quarterly basis. In Australia the RBA uses the Trimmed Mean on a quarterly basis.

Our positioning

At an investment level most inflation linked bonds are fixed rate (only adjusting for changes in inflation) so carry duration risk. Our preference is floating rate exposure. Floating rate notes (issued in Australia by the banks and many corporates) capture rising inflation risk through the coupon reset with almost no duration. It's not an inflation hedge in the strict sense, but it pays off in the same scenario and doesn't depend on beating the breakeven of an inflation linked bond.

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